

blame can be placed on the more spectacular or felonious of the previous speculators, but not on the recently enchanted (and now disenchanted) participants. The least important questions are the ones most emphasized: What triggered the crash? Were there some special factors that made it so dramatic or drastic? Who should be punished?

Accepted in reputable market orthodoxy is, as noted, the inherent perfection of the market. The market can reflect contrived or frivolous wants; it can be subject to monopoly, imperfect competition, or errors of information, but, apart from these, it is intrinsically perfect. Yet clearly the speculative episode, with increases provoking increases, is within the market itself. And so is the culminating crash. Such a thought being theologically unacceptable, it is necessary to search for external influences—in more recent times, the downturn in the summer of 1929, the budget deficit of the 1980s, and the “market mechanisms” that brought the crash of 1987. In the absence of these factors, the market presumably would have remained high and gone on up or declined gently without inflicting pain. In such fashion, the market can be held guiltless as regards inherently compelled error. There is nothing in economic life so willfully misunderstood as the great speculative episode.

The final question that remains is what, if anything, should be done? Recurrent descent into insanity is not a wholly attractive feature of capitalism. The human cost is not negligible, nor is the economic and social effect. In the aftermath of the 1929 crash, the damage was very great, and, as noted, it contributed visibly to the depression that followed. After 1987 and still at this writing, there are the heavy residue of debt from the exercise of leverage, the claims of interest as opposed to those of productive and innovative investment, and the trauma of bankruptcy. And there are the remaining effects of the losses by individuals and pension funds to the junk bonds.

Yet beyond a better perception of the speculative tendency and process itself, there probably is not a great deal that can be done. Regulation outlawing financial incredulity or mass euphoria is not a practical possibility. If applied generally to such human condition, the result would be an impressive, perhaps oppressive, and certainly ineffective body of law.